

Adjustment in Leasing Costs With Terra Santa Could Be More than a Blip

Ticker: SLCE3 BZ | **Target Price:** 22.00 (BRL) | **Rating:** NEUTRAL

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SLC leases 39.1k ha from Terra Santa; leasing costs for these areas will increase by 3.5 soybean bags/ha

Terra Santa (not covered) [announced](#) an adjustment to the price of its land leasing agreement with SLC to 20.5 soybean bags per hectare, from 17 soybean bags per hectare previously. The new price is valid for the next 3 years, including the 2024/25 crop year. SLC leases 39.1k ha of agricultural area from Terra Santa. The leasing agreement was signed in 2021 for a 25-year period, and foresees price adjustments every 3 years.

Our take: Based on the incremental leasing cost of 3.5 soybean bags/ha and an average price of ~R\$110/bag, the price readjustment should generate an additional expense of ~R\$15mn per year for SLC, which is obviously negative, but not necessarily material for the company on its own.

The main negative from this announcement is that other SLC's leasing agreements also have periodic price adjustment clauses, and we do not think that the market has already incorporated real price adjustments into them going forward.

While the farmlands that SLC leases from Terra Santa are some of the most mature areas there are (all located in Mato Grosso state and with double-cropping areas across the board), the fact that this lease agreement was already above SLC's average and that the price adjustment is coming well after the cycle has turned also caught us by surprise. While the farms' infrastructure may explain some of the price adjustment, we believe the point still stands.

In the 2024/25 crop, SLC had a total leased area of 305k ha (including Terra Santa's). As a sensitivity analysis, if all were to face the same price adjustment, it would mean total incremental leasing expenses of ~R\$117mn. This is obviously far too conservative, and we do not see it happening, but it underscores one caveat of the model. As a reference, in 2025/26, after the recent deals, we see SLC reaching a leased area of ~341k ha.

We keep our Neutral rating as we continue to see the negative commodity price backdrop taking a toll on SLC's FCF generation in the coming years.

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